

Touches. To prevent misidentification, I require at least five trendline touches: three of one trendline and two of the other for a valid rectangle. Each touch should be at a minor high or minor low. The touches can be adjacent (not alternating) so long as it doesn't leave too much whitespace behind.

[Figure 51.2](#) shows three alternating touches labeled with numbers. Except for the brief punch through the top in early December (point 2), price stays within the two boundary lines until breaking out downward on light volume in mid-January.

Volume. In at least two-thirds of the rectangles I looked at, volume trended downward (found using linear regression). Do not discard a rectangle because volume slopes upward. Rectangles with a rising volume trend can outperform, too. We'll see that in [Table 51.6](#).

Breakout direction. Price breaks out of the rectangle when it closes outside the trendline boundary. The direction can be either up or down, but favors an upward breakout in bull markets and downward ones in bear markets.

Duration. I like to see rectangles at least 3 weeks long to avoid confusion with flags, but patterns shorter than 3 weeks are fine providing they are not attached to a flagpole.

Focus on Failures

[Figure 51.3](#) shows a rectangle bottom in a downtrend. The pattern has two trendline touches on the top, several on the bottom, price moves horizontally, filling the whitespace with price movement ... all of which says it's a valid rectangle bottom.

Price punches through support at 54.75 and 2 days later pulls back to the rectangle, stair-stepping its way upward to point A. There, price closes above the top rectangle trendline.

Because the downward breakout sees price drop just 3%, I consider the rectangle to be a failure. When price closes above the top of the chart pattern, it busts the downward breakout, too.

Let's talk about both the breakout and bust.